I remember at that time people flipping houses and making money immediately. It felt very unreal to me. It was the way people talked about the homebuilding sector. It was a new paradigm. Every time I have had a major concept, I have eventually been right, but sometimes I am too early.

I assume you were also negative on technology in 1999?

Yes. It's always driven by the nature of how something is advancing. It never made sense to me how something can move so much in such a short period of time. It didn't make sense that everybody had it wrong before then, and all of a sudden there is a whole new way of looking at it. Intuitively, it didn't feel right, and I honor that intuition.

Given your style of anticipating tops, how did you avoid disaster during the Internet bubble when it was commonplace for stocks in that sector to go up tenfold or more?

I traded the technology stocks rather than the Internet stocks, but they still had crazy moves.

Were you early?

Absolutely, but what was different in those days was that even if a stock was in a big upmove, you could get an opening where the stock was down $4, and then it would go back up. But because the stock would open sharply lower, it would give you the opportunity to take money off the table, and then you would have dry gunpowder. What has changed in the last five to eight years with hedge funds becoming the main players is that there are far fewer pullbacks. Now, you can't be too early. The last two years [April 2009 to March 2011] have devastated the shorts as much as any other time I have seen, even including the Internet bubble.

Has that forced you to change your style at all?

Absolutely. It has forced me to rely more on the trust that I will see the transition point so I don't have to be so early.

How were you positioned when the stock market topped in March 2000?